

04 Opening Financial and Operating Schedules

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Prepared by Scenario finance team

For Scenario credit analyst

SYNTHETIC DEMO. The borrower Duolingo Learning Services LLC and Scenario Lender D01 are invented. No affiliation, subsidiary relationship, guarantee or actual financing by Duolingo Inc is asserted. All loan terms, financial figures, people roles, reports and events in documents 02 to 09 are fictional. Document 01 supplies real business background only.

Model basis

All amounts are fictional. USD millions unless stated otherwise. This is the fixed October 1, 2026 baseline snapshot corresponding to the editable workbook with the same number. It contains no later scenario results. Historical figures describe an invented operation. Forecasts are assumptions. The model is a simplified management model, not audited financial statements or Duolingo Inc reporting.

Closing balance sheet

Item	USD millions
Unrestricted bank cash	38.0000
Restricted processor reserve	4.0000
Total bank cash	42.0000
Processor settlement receivables	6.0000
Deferred processing costs	15.1200
Net equipment, software and acquired intangible assets	100.0000
Total assets	163.1200
Payables and accrued expenses	7.0000
Deferred subscription revenue	75.6000
Loan principal	60.0000
Equity	20.5200
Liabilities and equity	163.1200

Before funding, cash is \$22.0 million and prior debt is \$40.0 million. The new loan adds \$60.0 million and repays that \$40.0 million, producing the closing cash and debt above. Transaction fees are assumed zero. The restricted \$4.0 million is unchanged. The opening annual subscription book assumes six months of service remaining on average: 840,000 accounts times \$15 per month times six months gives \$75.6m of deferred revenue. Related unamortized processing costs are 20% of that amount, or \$15.12m. Other payables are \$7.0m and opening income-tax payable is zero.

Trailing twelve months through September 2026

Item	USD millions
Subscription revenue	151.2000
Other revenue	37.8000
Total revenue	189.0000
Processing fee expense	30.2400
Hosting and AI-service expense	37.8000
Other operating expense	84.9600
EBITDA	36.0000
Depreciation and amortization	6.0000
EBIT	30.0000
Historical interest expense	5.4000
Pretax income	24.6000
Income tax expense	6.1500
Net income	18.4500

Historical interest reflects the fictional prior financing; forecast interest follows C00. For the later December leverage certificate, the fictional January to September 2026 EBITDA subtotal is \$27.0 million. That historical subtotal is separate from the forward forecast.

Monthly operating drivers

Driver	Base assumption
Opening paid annual accounts	840000
Annual contract price in USD	180.00
Eligible completed trials per month	70000
Trial conversion	8.00%
Accounts due for renewal per month	70000
Annual renewal rate	92.00%
Recognized monthly revenue per average paid account in USD	15.00
Other monthly recognized revenue and receipts in USD millions	3.1500
Weighted processing fee rate	20.00%
Hosting and AI service in USD millions	3.1500
Other monthly operating expense in USD millions	7.0800
Monthly depreciation in USD millions	0.5000
Monthly capital expenditure in USD millions	0.8000
Tax rate	25.00%

Paid accounts roll forward as opening accounts less expiring accounts plus renewed accounts plus converted trials. Subscription revenue uses the average of opening and ending paid accounts, multiplied by \$15. This is an explicit simplified recognition convention. Gross subscription billings use the number of new and renewed annual contracts multiplied by \$180. Processing fees are expensed against recognized subscription revenue and paid against billings; the base case has equal billings and recognized revenue, so no processing-cost timing adjustment arises. Other receipts and operating costs settle in the same month. Processor receivables, prepaid assets, payables and deferred revenue remain unchanged in the base case. No refunds, family plans, foreign exchange, dividends or extra debt are assumed.

Six month base forecast

Measure	Oct 2026	Nov 2026	Dec 2026	Jan 2027	Feb 2027	Mar 2027
Monthly active users in millions	8.4	8.7	9.0	9.3	9.6	9.9
Ending paid accounts	840000	840000	840000	840000	840000	840000
Recognized revenue	15.7500	15.7500	15.7500	15.7500	15.7500	15.7500
Gross subscription billings	12.6000	12.6000	12.6000	12.6000	12.6000	12.6000
EBITDA	3.0000	3.0000	3.0000	3.0000	3.0000	3.0000
Interest	0.4500	0.4500	0.4500	0.4500	0.4500	0.4500
Tax expense and cash tax	0.5125	0.5125	0.5125	0.5125	0.5125	0.5125
Capital expenditure	0.8000	0.8000	0.8000	0.8000	0.8000	0.8000
Ending Unrestricted Cash	39.2375	40.4750	41.7125	42.9500	44.1875	45.4250

Definitions and reconciliation

Base monthly EBITDA is \$15.75m minus \$2.52m processing fees, \$3.15m hosting and \$7.08m other operating expense. Monthly income tax is 25% of EBITDA less \$0.5m depreciation and \$0.45m interest. Cash increases by EBITDA less interest, cash tax and capital expenditure. Depreciation is noncash. Net fixed assets increase by capital expenditure less depreciation, and equity increases by net income. Opening balance-sheet balance and every forecast balance-sheet balance reconcile in the workbook.

The closing illustrative Net Leverage is (\$60m minus \$38m) divided by \$36m, or 0.6111 times. The contractual limit is 2.50 times. The cash floor is \$25m; a forecast below \$32m creates a separate reporting obligation. No later report is embedded in this model.